RPS Research

December 2025

Price Targets

C$ 2.04

Alphamin Resources Corp

AFM.V
Sector: Mining

Alphamin Resources is mining the world's premier tin deposit to power the tech revolution

Executive Summary

Alphamin Resources represents a high-conviction production play on the global tin market, with its Bisie tin complex in the Democratic Republic of Congo positioned as the highest-grade tin operation worldwide. The company's Mpama North and Mpama South mines deliver a blended grade of approximately 3% Sn, producing around 20,000 tonnes of contained tin annually, equivalent to roughly 7% of global mined supply. Recent Q3 2025 results showed record sales of 5,132 tonnes at an average price of US$33,877/tonne, driving EBITDA of US$96.2 million and prompting an upward revision to full-year guidance. With tin prices hitting all-time highs above US$51,000/tonne in early 2026 amid supply constraints and surging demand from AI, solar, and electronics sectors, Alphamin's low-cost profile (AISC ~US$15,900/tonne) supports robust margins and a projected 20% dividend yield for 2026. Recent institutional backing, including a 56.23% acquisition by Alpha Mining Ltd in 2025, further de-risks the story, though jurisdictional challenges in the DRC persist. We assign a BUY rating with a CAD $2.04 reflecting strong cash flows, expansion potential, and tin's structural bull market, despite a recent fatality incident underscoring operational risks.

Key Highlights

Record Production and Sales: Q3 2025 tin sales of 5,132 tonnes, up 12% QoQ; full-year 2025 guidance raised to 18,000-18,500 tonnes amid elevated prices and operational efficiencies.

High-Grade Asset Base: World's highest-grade tin mines with blended 3% Sn; proven and probable reserves support 10+ year mine life at current rates, with exploration upside at Mpama South extensions.

Strong Financials: EBITDA of US$96.2 million in Q3 2025 (US$18,705/tonne sold); net debt reduced to manageable levels post-acquisition, enabling CAD $0.04/share interim dividend and potential for special payouts.

Market Tailwinds: Tin prices at record highs (>US$51,000/tonne) driven by AI/data center demand and supply disruptions in Myanmar/Indonesia; Alphamin captures premium as conflict-free producer.

Expansion Momentum: Mpama South ramp-up on track for full production in 2026; ongoing exploration at Bisie complex targets resource growth to position Alphamin as a top global producer.

Key Risks: DRC geopolitical instability; recent fatality at Mpama South highlights safety concerns; tin price volatility could impact margins if demand softens.

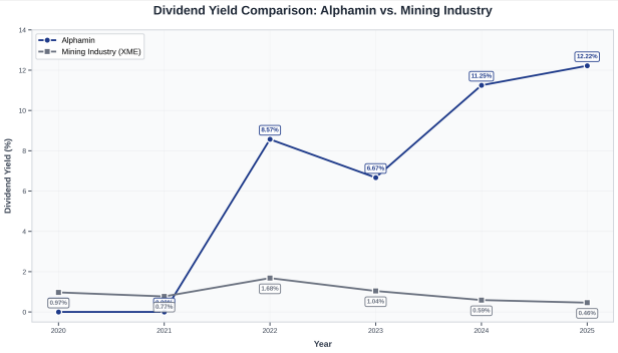
Industry

The global tin industry is experiencing a structural supply deficit, with demand growth outpacing new production amid underinvestment and geopolitical disruptions. China and Indonesia dominate supply (over 60% of refined tin), but export restrictions, mine closures in Myanmar, and environmental regulations have tightened the market. Tin is critical for soldering in electronics, solar panels, EVs, and AI infrastructure—sectors projecting 7-10% CAGR demand through 2030. The International Tin Association forecasts multi-year shortages, pushing prices to records above US$51,000/tonne in 2026. Western producers like Alphamin benefit from "conflict-free" premiums and strategic importance, with governments incentivizing diversified supply chains. Key peers include Yunnan Tin (China), PT Timah (Indonesia), and Metals X (Australia), but few match Alphamin's grade and scale outside Asia. While a slight surplus is possible in 2025 from DRC/China expansions, structural contradictions (regional imbalances, emerging tech demand) will likely sustain high prices.

About the Company

Alphamin Resources Corp. (TSXV: AFM, JSE: APH, OTC: AFMJF) is a Mauritius-headquartered tin producer focused on its 84.14%-owned Bisie tin complex in North Kivu, DRC. Incorporated in 1981 as La Plata Gold Corporation, the company rebranded in 2008 and commenced operations at Mpama North in 2019, followed by Mpama South ramp-up in 2024. Alphamin employs advanced underground mining and gravity-based processing to produce high-grade tin concentrate, certified as conflict-free under ICGLR standards. The technical team leverages expertise in African operations to maintain low costs and high recoveries (~70%). With ~7% of global mined tin output, Alphamin serves major electronics and solder manufacturers, positioning itself as a key Western-aligned supplier amid supply chain diversifications. The company faces 2-3 year timelines for further expansions but benefits from strong balance sheet post-2025 acquisition by Alpha Mining Ltd (56.23% stake). Alphamin emphasizes sustainability through community development (4% of in-country spend) and an Ethics Hotline for integrity management.

Metric	Unit/Notes	Value
Mineral Reserves and Resources (Mpama North + South)		
Proven and Probable Reserves - Tonnage	Million Tonnes	4.2
Proven and Probable Reserves - Average Grade	% Sn	3.5
Measured and Indicated Resources - Tonnage	Million Tonnes	5.8
Measured and Indicated Resources - Average Grade	% Sn	3.2
Inferred Resources - Tonnage	Million Tonnes	2.1
Inferred Resources - Average Grade	% Sn	2.8
Contained Tin (Proven + Probable)	Thousand Tonnes	147
Stock and Financial Metrics (December 31, 2025)		
Current Price (Close)	CAD	1.19
52-Week Range	CAD	0.45 - 1.23
Volume	Shares	145,800
Average Volume	Shares (recent trailing average)	350,000
Market Cap	Million CAD	1,520
Dividend Yield (Forward)	%	~ 10
Forecasts	**2026E**	**2027E**
Revenue ($M)	798.0	700.0
EBITDA ($M)	435.0	320.7
Net Income ($M)	294.0	221.2
CapEx ($M)	-27.9	-21.0
FCF ($M)	247.1	244.1
Dividends ($M)	147.0	110.6
DPS (CAD)	$0.13	$0.10



The DCF Model used for the valuation can obtained by reaching out to rishampreet10@gmail.com

Investment Thesis

World-Class Asset Quality: Alphamin's Bisie complex boasts unparalleled grades (3% blended Sn), enabling low AISC (~US$15,900/tonne) and resilience to price cycles. Mpama North's proven operations (since 2019) deliver ~70% recoveries via simple gravity/flotation, while Mpama South's ramp-up adds ~50% capacity. Exploration potential along the 1,270 km^2 license area, including extensions at Mont Agoma and Kalayi, could double resources, extending mine life beyond 2035.

Strategic Exposure to Tin Bull Market: Tin demand surges from AI (data centers), solar (soldering), and EVs (batteries), with 7% growth projected for 2026. Supply disruptions (Myanmar bans, Indonesian delays) create deficits, boosting prices 60% since 2024 lows. As a non-Asian producer, Alphamin commands premiums for traceable, conflict-free tin, with off-take agreements securing ~80% of output to global majors.

Robust Cash Flows and Shareholder Returns: Q3 2025 EBITDA margins >50%; debt/equity at 21.69 supports CAD $0.04/share dividends and potential specials. Alpha Mining's 2025 acquisition provides strategic capital for expansions, reducing dilution risk. Free cash flow yield ~15% at current prices positions Alphamin for 20%+ yields in 2026.

Peer Analysis

Company	Status	Sn Grade (%)	Jurisdiction	Market Cap (USD M)	EV (USD M)	Price/Book	Debt/Equity	Current Ratio
Alphamin Resources	Producing (Mpama N/S)	3	DRC	1,300	1,450	3.2	21.69	1.28
Yunnan Tin	Producing + Refining	1.2	China	3,423	3,800	2.8	45.2	1.5
PT Timah	Producing	0.8	Indonesia	1,200	1,450	1.9	60.1	0.9
Metals X	Producing (Renison)	1.5	Australia	450	480	2.1	15.3	2.2
Minsur	Producing (San Rafael)	2	Peru	2,100	2,300	3.5	30.4	1.8
Malaysia Smelting	Producing + Smelting	1	Malaysia	800	850	2.4	25.6	1.4
Andrada Mining	Early Production	0.7	Namibia	150	160	1.8	10.2	2.5

Tin Pricing

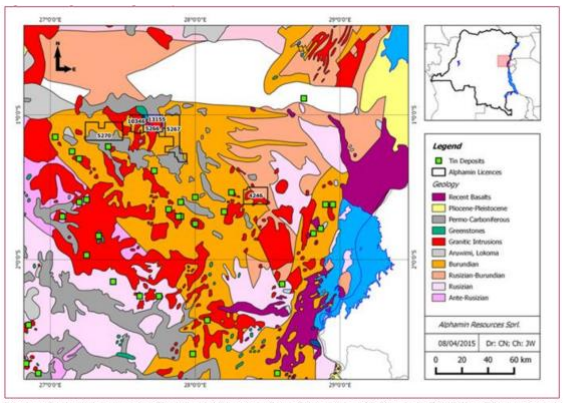
Tin prices have rallied to records above US$51,000/tonne in 2026, extending a three-year bull run fueled by Chinese investor buying, supply disruptions, and demand from AI/solar sectors. Despite a potential slight surplus in 2025 from DRC/China ramps, structural deficits persist due to underinvestment and jurisdictional risks. Alphamin's share price shows moderate correlation to tin spots (beta 0.42), responding more to production catalysts, but as output scales, sensitivity should increase. Base case assumes US$40,000/tonne long-term; upside to US$60,000+ if EV/AI demand accelerates.

Democratic Republic of Congo

In the DRC, tin mining is concentrated in the eastern provinces, particularly North Kivu, where high-grade deposits like Alphamin's Bisie complex contribute significantly to global supply, accounting for around 5-7% of mined tin. However, operations face severe risks from ongoing armed conflicts, with rebel groups such as M23 causing disruptions, including mine suspensions due to attacks, as seen at Bisie in 2025. Rebel activities often involve control over artisanal mining sites for tin and other minerals, leading to illegal exports and pressure on formal operations. Logistical challenges exacerbate these issues; tin concentrate is primarily transported by truck through insecure roads to ports like Matadi on the Congo River or via neighboring countries such as Uganda or Tanzania for export, increasing vulnerability to theft, delays, and higher costs due to poor infrastructure and conflict zones. To mitigate "conflict mineral" concerns, exports must comply with certification schemes like the International Conference on the Great Lakes Region or OECD due diligence guidelines, ensuring traceability and conflict-free status for access to Western markets. Additionally, the DRC is implementing modernized export controls by March 2026, including stricter assessments of mineral content and volumes to boost revenue, which could introduce further bureaucratic hurdles and costs for producers. These factors contribute to a high jurisdictional risk premium, deterring some investors despite the DRC's strategic importance in diversifying global tin supply away from Asia.

Valuation

We estimate an equity value of CAD$2.04 per share. Using a WACC of 14.2% and a 3.0% terminal growth rate, the model projects unlevered free cash flow of US$247 M in 2026 which incorporates depreciation (US$102.6M), less capital expenditures (US$35.9M), working capital investment (US$80.4M), and net debt repayment (US$5.0M annually). The sum of present value of the projected cash flows leading up to 2030 totals US$1,850.8M, with the terminal value contributing US$1,045.1, yielding a total equity value of US$1,901.1M across 1,278.9M shares outstanding.



Sources: Geological map: shape file extracted from the «Carte Géologique et Minière de la République Démocratique du Congo (Musée Royal de l'Afrique Centrale, Tervuren), Licences coordinates: CAMI.